

VA.1 Owner-Builder Exemption Walkthrough

How Virginia's owner-builder exemption actually works — the one sentence that creates it, the statement you sign to claim it, and the strings the Code of Virginia attaches.

Before you use this document

This is a process reference, not legal advice. Virginia has one statewide building code, but every county, city, and town enforces it through its own local building department, with its own forms, fees, and portal. Confirm every item with the building department that will issue your permit before you rely on it. Statute text was read at law.lis.virginia.gov in August 2026; statutes change.

THE SHORT VERSION

Virginia licenses anyone who contracts to build for others — and the lowest license class, Class C, starts at contracts of just over **\$1,000**. The exemption statute carves you out of the entire licensing chapter: you may perform or supervise the construction of **one primary residence owned by you and for your own use in any 24-month period** without a contractor license. You claim it by filing a written statement, supported by an affidavit, when you pull the permit — and the building official is forbidden to issue the permit without it.

Code of Virginia § 54.1-1100 (definitions and license classes); § 54.1-1101(A)(7) (the exemption); § 54.1-1111 (the statement and affidavit).

The exemption at a glance

Question	Virginia's answer
What does the license law govern, then?	Contracting to build <i>for others</i> "for a fixed price, commission, fee, or percentage." It governs the people you hire, not you — and it reaches them from just over \$1,000 per job.
Must you own the home?	Yes. The residence must be "owned by him and for his own use" — a house built to sell or to rent is not for your own use.
How many can you build?	No more than one primary residence in any 24-month period.
Is there a fixed holding period after completion?	The statute states none — Virginia polices intent through "for his own use," not a resale clock. This kit prints no waiting period, because none appears in the section text; see the certificate-of-occupancy string below before you plan any early sale.
What do you sign, and who checks it?	A written statement, supported by an affidavit, that you are not subject to licensure (§ 54.1-1111). The building official may not lawfully issue the permit without your license number or that evidence of exemption.

THE EXEMPTION ITSELF — § 54.1-1101(A)(7)

Section 54.1-1101(A) opens: "*The provisions of this chapter shall not apply to:*" — and the chapter it switches off is the whole of Chapter 11 of Title 54.1, which contains both the contractor article and the tradesman article. Subdivision (A)(7) is yours:

The operative sentence — quoted in full

"Any person who performs or supervises the construction, removal, repair, or improvement of no more than one primary residence owned by him and for his own use during any 24-month period"

Three limits in one sentence: **one** residence, **owned by you, for your own use** — and the 24-month window that stops the exemption from becoming a spec-building business. "Performs or supervises" means you may do the work yourself, hire it out, or both.

Code of Virginia § 54.1-1101(A)(7).

Read **"for his own use"** closely — it is Virginia's anti-speculation line. The statute sets no occupancy clock and no resale waiting period; it polices your **intent**. A house you planned to sell or rent from the start was never for your own use, no matter how long you hold it. If your plans are genuinely uncertain, get your building department's position — and anything from DPOR — in writing before you pull the permit.

Two related exemptions worth knowing

The family gift — subdivision (A)(8) exempts *"any person who performs or supervises the construction, removal, repair, or improvement of a house upon his own real property as a bona fide gift to a member of his immediate family."*

Your own rentals — repair and improvement only — subdivision (A)(10) exempts *"any person who performs or supervises the repair or improvement of residential dwelling units owned by him"* that are subject to the Virginia Residential Landlord and Tenant Act. It does not cover building a new rental.

Code of Virginia § 54.1-1101(A)(8), (A)(10).

THE STRING ATTACHED — A CERTIFICATE OF OCCUPANCY BEFORE ANY SALE

The exemption statute's own title warns you: "Exemptions; failure to obtain certificate of occupancy; penalties." Subsection (B) requires an owner who built under the exemption to obtain a certificate of occupancy *"for any building constructed, repaired or improved by him prior to conveying such property to a third-party purchaser"* — unless the purchaser waives the requirement in writing. Violating that is a **Class 1 misdemeanor**; a third violation within 36 months is a **Class 6 felony**.

And subsection (C) closes the loop that matters most day to day: exempt persons *"shall comply with the provisions of the Uniform Statewide Building Code."* **The exemption waives the license — never the permit, never the inspections, never the code.**

Code of Virginia § 54.1-1101(B), (C).

WHAT YOU SIGN AT THE COUNTER — § 54.1-1111

Where a licensed contractor writes a license number on the application, you file *"a written statement, supported by an affidavit, that he is not subject to licensure or certification as a contractor or subcontractor pursuant to this chapter."* The same section then binds the official: *"It shall be unlawful for the building official or other authority to issue or allow the issuance of such permits unless the applicant has furnished his license or certificate number issued pursuant to this chapter or evidence of being exempt from the provisions of this chapter."*

The form is local — the obligation is not

There is no single statewide owner-exemption form. Each locality prints its own, commonly titled "Contractor's License Exemption," "Owner's Affidavit," or similar. Ask your building department for its version when you pick up the application package, and expect it to need notarizing. See **VA.5**.

Code of Virginia § 54.1-1111.

DOING YOUR OWN ELECTRICAL, PLUMBING, AND HVAC WORK

Virginia licenses tradesmen — electricians, plumbers, and HVAC workers — in the **same Chapter 11** that the owner-builder exemption switches off. Two provisions do the work:

The two statutes you read together

Provision	What it says	Authority
Who is a "tradesman"	<i>"any individual who engages in, or offers to engage in, work for the general public for compensation in the trades of electrical, plumbing and heating, ventilation and air conditioning."</i> Working on your own house is not working for the general public for compensation.	§ 54.1-1128
The licensure command	<i>"no individual shall engage in, or offer to engage in, work as a tradesman ... unless he has been licensed"</i> — but this command sits inside the chapter that § 54.1-1101(A)(7) says "shall not apply to" you.	§ 54.1-1129

Honest label: this is a synthesis — confirm it before you rely on it

Read together, the two statutes put an owner doing his own electrical, plumbing, or HVAC work on his own primary residence outside the licensing scheme. But no Virginia statute says "owners may wire their own house" in so many words, and some building departments quiz owner applicants before issuing trade permits. **Confirm with your building official, before you plan on it, that they will issue you the trade permits.** For the record, the only express exemption in the tradesman article is trivial: § 54.1-1131(C) covers single-family residence work *"where the value of the work performed is less than \$250 and such individual does not hold himself out to the general public as a tradesman."*

And a license is not a permit. Exempt or not, § 54.1-1101(C) holds you to the USBC — every trade still needs its permit and must pass its inspections. Doing your own work without pulling those permits is the single most expensive mistake in this kit, because the remedy is opening up finished work.

WORKERS' COMPENSATION WHEN YOU HIRE PEOPLE

Virginia's Workers' Compensation Act reaches an employer once **three or more employees** are regularly in service: the Act's definition of "employee" excludes *"employees of any person, firm or private corporation ... that has regularly in service less than three employees in the same business within this Commonwealth"* (unless coverage is voluntarily elected). Once you are subject, § 65.2-800 is unequivocal: *"Every employer subject to the compensation provisions of this title shall insure the payment of compensation to his employees in the manner hereinafter provided."* Hiring even a couple of helpers directly puts you close to that line — count heads before you do.

Code of Virginia § 65.2-101 (definition of "Employee"); § 65.2-800.

Your subs' workers — manage the risk, don't litigate it

Section 65.2-302(A) makes an owner who subcontracts work that is part of his own "trade, business or occupation" liable for compensation to the sub's workers as if *"the worker had been immediately employed by him."* Whether a one-time owner-builder is "in the trade or business" of construction is a question the statute does not answer — so do not bet on the answer. **Require a current workers' compensation certificate from every subcontractor before they set foot on the site,** and keep the certificates with this kit.

One contrast with other states: this kit found no Virginia statute that conditions a residential building permit on workers' compensation certification. Your locality's application form may still ask — answer whatever it asks accurately.

Code of Virginia § 65.2-302(A).

THE PEOPLE YOU HIRE — LICENSES AND THE \$1,000 LINE

Your exemption does nothing for your subcontractors. Anyone who contracts *with you* is a contractor under § 54.1-1100, and the license classes are set by dollar value:

DPOR contractor license classes — § 54.1-1100

Class	Contract value
Class C	Single contract " <i>over \$1,000 but less than \$30,000</i> " (or under \$250,000 of such work in any 12-month period)
Class B	Single contract " <i>\$30,000 or more, but less than \$150,000</i> "
Class A	Single contract " <i>\$150,000 or more</i> " (or \$1 million or more annually)

So **every sub you hire for a job over \$1,000 must hold at least a Class C license** in the right classification. Verify each one at DPOR's License Lookup, dpor.virginia.gov, before you sign — not after. Two more reasons beyond the law: an unlicensed contractor's contract "*shall not be enforceable by the unlicensed contractor*" unless he substantially performed in good faith and "*did not have actual knowledge that a license or certificate was required*" (§ 54.1-1115(C)) — which protects you very little when the work is bad. And knowing violations of the licensing chapter are **Class 1 misdemeanors** (§ 54.1-1115). If a contractor uses uncredentialed workers, § 54.1-1115.01 makes that contractor "*solely responsible for any monetary penalty or other sanction*" — put it in your subcontract anyway.

Code of Virginia § 54.1-1100; § 54.1-1115(A)-(C); § 54.1-1115.01. License lookup: dpor.virginia.gov → License Lookup.

QUALIFICATION CHECKLIST — WORK THIS BEFORE YOU APPLY

Every line below is a condition the statutes impose or a fact the permit counter will ask you to prove. Work down it with a pen. If you cannot check a box, resolve it before you file — not after.

Step 1 — Ownership and intent

	Item	Date	Notes / evidence
☐	Land is owned in your name as of the permit application date Deed book/page: _____ Parcel ID: _____		
☐	The house will be your primary residence, for your own use — not a spec house, flip, rental, or a home built mainly to sell		
☐	You have not built or supervised another primary residence under this exemption within the past 24 months		

Step 1 — Ownership and intent

	Item	Date	Notes / evidence
☐	If a sale might come early: you understand a certificate of occupancy must issue before conveying to a buyer, absent the buyer's written waiver (§ 54.1-1101(B))		
☐	If intent is uncertain, you have your building department's position in writing before applying Date requested: _____ Response: _____		

Step 2 — What you sign and who you hire

	Item	Date	Notes / evidence
☐	Your locality's owner-exemption statement/affidavit form obtained — names vary; ask for the "contractor exemption" or "owner affidavit" form		
☐	Written statement supported by an affidavit ready to sign at application (§ 54.1-1111) — expect to notarize		
☐	Every subcontractor whose contract exceeds \$1,000 holds a current DPOR license of the right class		
☐	Each license verified at dpor.virginia.gov → License Lookup Verified on: _____		
☐	Workers' compensation certificate collected from every subcontractor		
☐	If self-performing electrical, plumbing, or HVAC: your building official has confirmed they will issue you the trade permits		

Step 3 — the paperwork itself (the application package, the lien agent line, septic and well, erosion control, energy documentation) is worked in **VA.2 Permit Application Checklist**, and each document is described in **VA.5 Forms & Documents Index**.

WHAT TAKES THE EXEMPTION AWAY

- Building or supervising **more than one** primary residence in a 24-month period.
- Not owning the residence you are building.
- A house that was never **for your own use** — built to sell, to rent, or for someone outside the family-gift exemption.

- Conveying to a buyer before the certificate of occupancy issues, without the buyer's written waiver.
- Treating the exemption as a pass on permits or inspections — § 54.1-1101(C) holds you to the USBC in full.

Consequences the statutes actually name: selling without the CO is a **Class 1 misdemeanor**, and a third violation within 36 months is a **Class 6 felony** (§ 54.1-1101(B)); knowing violations of the licensing chapter are **Class 1 misdemeanors** (§ 54.1-1115).

Sources — every Virginia claim in this document (verified August 2026)

What this document states	Authority
Contracting for others requires a DPOR license; Class C over \$1,000, Class B at \$30,000, Class A at \$150,000	§ 54.1-1100
The exemption switches off the entire licensing chapter — contractors and tradesmen both	§ 54.1-1101(A)
One primary residence, owned by you, for your own use, per 24 months	§ 54.1-1101(A)(7)
Family-gift exemption; own-rentals repair/improvement exemption	§ 54.1-1101(A)(8), (A)(10)
CO before conveying to a third-party purchaser, absent written waiver; Class 1 misdemeanor; third violation in 36 months a Class 6 felony	§ 54.1-1101(B)
Exempt persons must comply with the USBC — permits and inspections never waived	§ 54.1-1101(C)
Written statement + affidavit; unlawful for the official to issue without it	§ 54.1-1111
"Tradesman" reaches work for the general public for compensation; the licensure command sits inside the exempted chapter	§ 54.1-1128; § 54.1-1129
Only express tradesman exemption: under \$250, single-family, no holding out	§ 54.1-1131(C)
Workers' comp reaches employers of three or more; subject employers must insure	§ 65.2-101; § 65.2-800
Statutory-employer liability turns on the owner's own trade, business or occupation	§ 65.2-302(A)
Unlicensed contractor's contract generally unenforceable; knowing violations Class 1 misdemeanor; hirer of the uncredentialed solely responsible	§ 54.1-1115; § 54.1-1115.01

Read any Code of Virginia section cited above at law.lis.virginia.gov → Code of Virginia → by section, or directly at law.lis.virginia.gov/vacode/54.1-1101/ with the section number swapped in. Virginia Administrative Code sections (13VAC5-63 and the like) live under law.lis.virginia.gov/admincode. All statute and regulation text verified August 2026.